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Asia Economics | Asia Pacific

The Viewpoint: Navigating through concerns about AI capex, rates, and oil prices

The pace of the AI capex cycle, elevated interest rates, and higher oil prices are weighing on investors' minds as potential downside risks. We see these headwinds posing a modest but not significant drag on Asia's macro outlook.

Key Takeaways

- Despite the emerging concerns, we think that the headwinds so far will pose only a modest drag on Asia's growth.
- Asia's capex super-cycle is driven by more than just AI. AI and AI-related energy/industrial capex account for only 20% of the increase in Asia's capex.
- Healthy corporate balance sheets, with debt to GDP ratios below pre-Covid levels, provide a significant buffer against rising rates.
- Oil price rises have been manageable so far because of offset from higher export prices and 83% of the region having adequate domestic refining capacity.
- Oil rising above US$120/bbl, central banks hiking pro-cyclically, and a decline in AI capex in 2027 would pose meaningful downside to the region's growth.

In this report, we address recent investors' concerns over the AI capex cycle, elevated interest rates, and higher oil prices. We also assess the relative exposure of various economies in the region to each of the three risk factors.

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Details

Macro concerns are rising again: In recent weeks, investors have become increasingly concerned over the interplay of three forces – the AI capex cycle, elevated interest rates, and rising oil prices – and the implications for Asia's macro outlook. We believe these cyclical headwinds, on their own, will be modest and not pose a significant drag on Asia's growth, principally because Asia's capex cycle extends beyond AI and balance sheets are very healthy. However, certain economies are more exposed on a relative basis within the region.

- We highlight Korea, Taiwan, Japan, China, and Malaysia as more exposed to the AI capex cycle.
- Economies like India, Indonesia, and the Philippines are more exposed to elevated rates and higher oil prices.

Meaningful downside to growth could emerge in a risk scenario: We think a risk scenario featuring a combination of three factors could result in meaningful downside to Asia's growth. Such a risk scenario would feature a combination of:

1. Oil prices rising above US$120/bbl on a sustained basis, which raises the possibility that policymakers will have to adjust domestic fuel prices higher;
2. Central banks having to hike more than we expect in response to inflation rising above target; and
3. Funding, regulatory, and other constraints could result in AI capex turning out to be lower in 2027 as compared to 2026.

In particular, we highlight that the pace, timing, and duration of these factors will be key to determining the extent of the eventual downside risk to Asia's growth outlook.

1) The AI capex cycle

AI financing concerns have emerged: Investors have expressed concerns over the state of the AI capex cycle. Our global fixed income colleagues recently wrote how higher interest rates and wider credit spreads are raising borrowing costs just as AI infrastructure's need for capital is accelerating. Investors' main concern is whether the rise in borrowing costs will change the economics of AI investments. The team's base case is that computing demand still outweighs supply, with an imbalance that is set to persist. But they also note that while high quality hyperscalers have more room to raise debt (albeit at higher prices than before), pressure points do exist further down the ratings scale. Even if funding, power and other regulatory constraints may delay US AI capex, it should still be higher in 2027 as compared to 2026.

For more details, please see US Equity Strategy & GVAT: Following AI's $1.6 trillion Money Trail: Mapping the Revenue Generated by the Capex Boom, October 15, 2026.

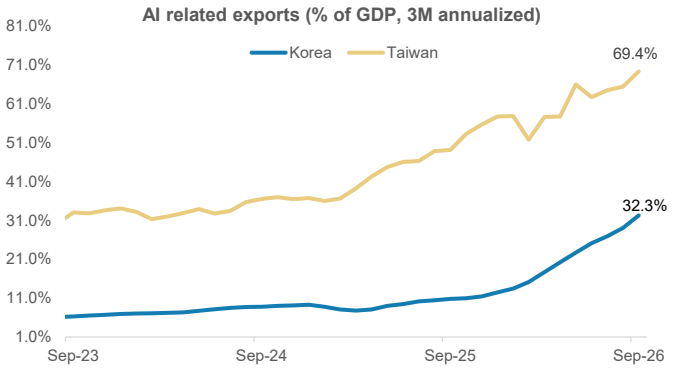
Asia's capex super-cycle – more than just AI: From Asia's perspective, we have been highlighting that its capex cycle is not just dependent on AI/semiconductor companies' capex. Indeed, the structural drivers of energy, defense, and industrial capex contribute more to Asia's capex growth, by our estimates. As such, Asia's AI capex has been less aggressive when compared with the US and hence, we see limited downside. We estimate that AI capex will account for 7% of the increase in Asia's capex between 2025 and 2030.

The key component of Asia's capex cycle that is most exposed to the spillovers of the US tech capex cycle relates to the investments by the semiconductor manufacturing companies, which we estimate will account for 5% of the increase in Asia's overall capex from 2025 to 2030.

For the capex cycle more broadly, Asia's other drivers (in the form of energy, defense, and industrial capex) will remain supportive, given that they are driven by structural forces such as the drive for greater economic security and geopolitical developments, and hence are less exposed to potential headwinds from capex related to AI. For instance, even if we were to consider the parts of energy capex that are going into powering AI, the total capex linked to AI (including AI-related energy and industrial capex) would be ~20% of the increase in Asian capex from 2025 to 2030.

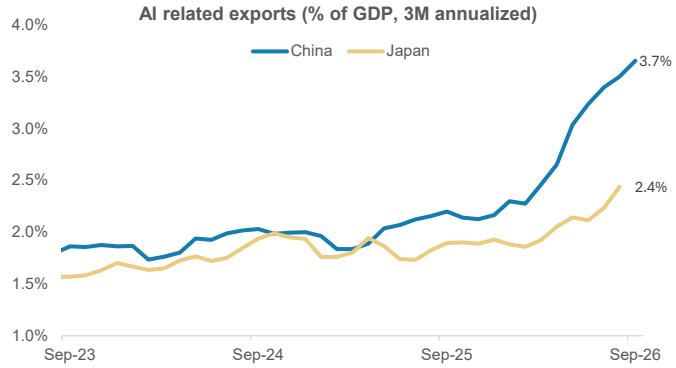
AI-related exports – which economies are more exposed: Within the region, we highlight the economies of Korea and Taiwan, which have a high share of AI-related exports relative to GDP.

Exhibit 1: Within the region, we highlight the economies of Korea and Taiwan, which have a high share of AI-related exports relative to GDP



Source: CEIC, Morgan Stanley Research; Note: We identify AI-related products at the 6-digit HS code level, covering semiconductors, computers and storage hardware, printed circuits, semiconductor manufacturing, assembly and testing equipment and parts, semiconductor materials (including wafers and photomasks), optical fibre components, ns testing equipment, and cleanroom garments. As monthly trade data at the 6-digit HS code level are not publicly accessible for Korea, we use semiconductors and computers as proxies for AI-related trade.

Exhibit 2: China and Japan have rising but still comparatively lower exposure to AI-related exports



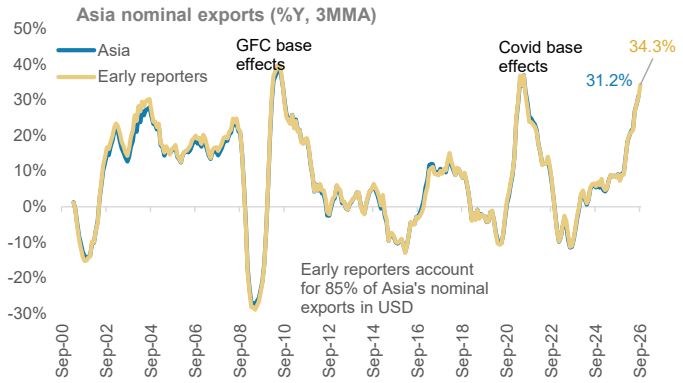
Source: CEIC, Morgan Stanley Research; We identify AI-related products at the 6-digit HS code level, covering semiconductors, computers and storage hardware, printed circuits, semiconductor manufacturing, assembly and testing equipment and parts, semiconductor materials (including wafers and photomasks), optical fibre components, ns testing equipment, and cleanroom garments. As monthly trade data at the 6-digit HS code level are not publicly accessible for Korea, we use semiconductors and computers as proxies for AI-related trade.

2) Elevated interest rates

Strong exports and capex-driven cycle allow Asia to withstand higher rates: As in the 2000s, Asia is benefiting from strong export growth, which has averaged 25% so far this year, compared to 0.5% over 2022-23. In turn, this has lifted Asia's current account surplus to US$1.6 trillion (4.2% of GDP) as of 2Q26.

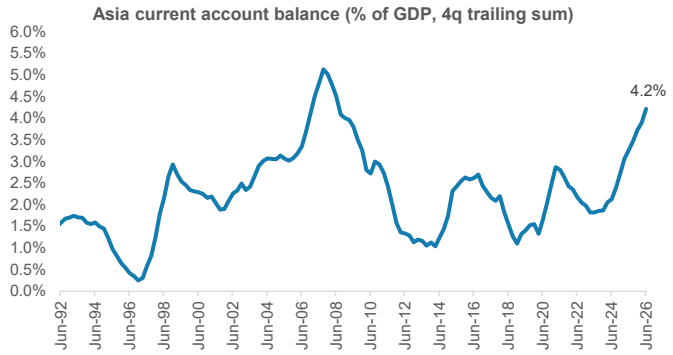
Moreover, as we highlighted earlier, the boost to external demand is being reinforced by a broader capex super-cycle within Asia. This macro setup is leading to an improving productivity dynamic in Asia, which allows it to withstand higher interest rates. Unlike in the run-up to the Asian Financial Crisis in the 1990s, the region has not experienced a comparable buildup in leverage. Indeed, the ratio of corporate debt to GDP in Asia ex China is still lower than its pre-Covid levels. Asia is therefore entering the current Fed tightening cycle with strong export and investment momentum, but without the buildup in leverage and current account deficits.

Exhibit 3: Strong exports and capex-driven cycle allow Asia to withstand higher rates



Source: CEIC, Morgan Stanley Research

Exhibit 4: Asia's current account surplus has risen to 4.2% of GDP as of 2Q26



Source: CEIC, Morgan Stanley Research

Nonetheless, there are still economies within Asia which are more exposed to the effects of elevated interest rates on a relative basis.

Most exposed – Philippines, Indonesia, and India

We highlight the Philippines, Indonesia, and India as the most exposed in the region on a relative basis because they run current account deficits. However, we would still stress that Indonesia and India's exposure is much less than in previous cycles, considering that in this cycle their current account deficits are less than 2% of GDP even after reflecting the impact of recent oil price increase. Only the Philippines runs a relatively wide current account deficit at 4.5% of GDP.

Moderately exposed – Thailand, Japan, Malaysia, Australia, Korea, and Taiwan

We are placing most of the economies in the region in this moderately exposed grouping. While our macro strategist for Asia expects Asian currencies to depreciate, we don't think the pace of depreciation will be that strong in a way that would prompt central banks to hike at an aggressive pace.

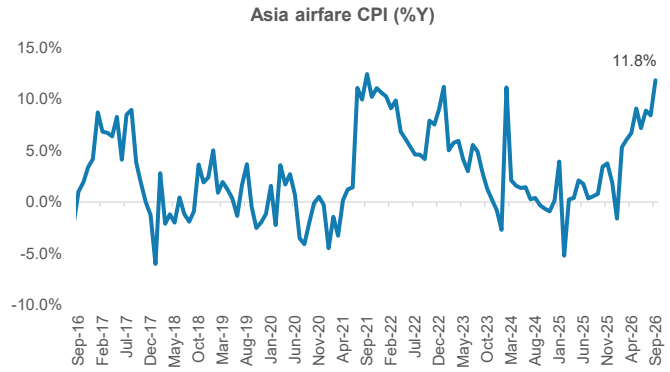
Least exposed – China

China currently faces different dynamics from the rest of the region. Rather than facing inflation, deflationary pressures are rising again as households deleverage, while the fiscal deficit continues to narrow. Moreover, its current account surplus has continued to rise, reaching US$824bn as of 2Q26 on a four-quarter trailing basis, and remains elevated at 4% of GDP.

3) Rising oil prices

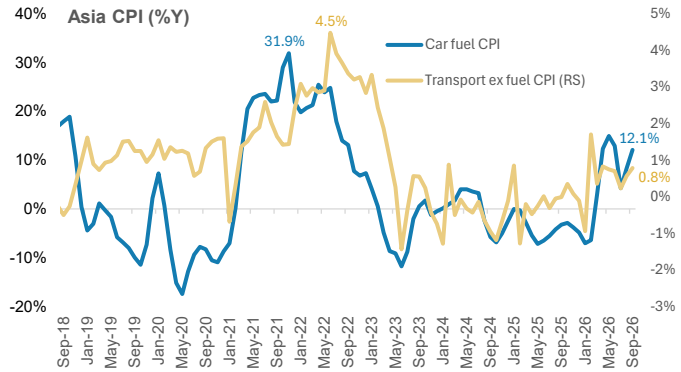
Manageable so far, but pressures to build if oil crosses US$120/bbl in sustained manner: Asia has been able to manage the rise in oil prices so far, as rising export prices and adequate domestic refining capacity have provided key offsets. However, if oil prices rise above US$120/bbl in a sustained manner, we believe that policymakers would have to allow for a more meaningful rise in domestic fuel prices, which would lead to a rise in inflationary pressures and a pro-cyclical response from central banks. That would pose downside risks to growth, particularly for those economies which are more exposed.

Exhibit 5: Airfare inflation is close to the 2022 peaks



Source: Haver, CEIC, Morgan Stanley Research

Exhibit 6: But inflation in overall transport-related segments is still much lower than in 2022 because of policy intervention



Source: Haver, CEIC, Morgan Stanley Research

How Asia has managed the energy shock so far:

1) Supply disruptions have been largely averted: Policymakers have taken up efforts to address crude and refined product supplies including buying from non-Middle East sources such as the US, and switching to alternative energy sources including coal power. For more details on the product bottlenecks in certain economies, please see The Viewpoint: Will higher rates and oil prices break the capex super cycle? Sep 16, 2026.

2) Adequate domestic refining capacity means that Asia's price sensitivity remains tied to crude prices: Within Asia, five economies – China, India, Japan, Korea, and Thailand – have adequate domestic refining capacity to meet a substantial share of domestic demand. These economies, which account for 83% of the region's GDP, therefore have not had to import refined products from international markets at high cost.

3) Rising export prices, in particular for tech exports, have supported terms of trade: In this cycle, policymakers have had buffers to manage the higher imported cost of crude oil because terms of trade have been supported by the surge in tech exports. Higher export prices have boosted corporate profits and in turn government tax revenues, partly offsetting the fiscal pressures from ongoing fuel subsidies.

4) Broad-based interventions have helped to mitigate the effects of higher prices: Since the initial rise in international oil prices, policymakers across the region have made use of a wide variety of measures to control the pace of rise in domestic gasoline and diesel prices. Indeed, while in the past it used to be the case that EM Asia economies

would intervene in domestic fuel prices, this time around even DM Asia economies like Korea and Japan have put in place measures to curb the rise in domestic fuel prices. For Asia, international oil prices in local currency terms have risen roughly ~60% since late February, but domestic gasoline prices have increased only about 19% on a nominal dollar GDP-weighted basis, while diesel prices have risen 21%. This is much lower than the 45% increase in gasoline and 65% in diesel prices in the US.

China and India: The burden from higher crude prices has been shared by the state-owned refining companies (which are largely responsible for meeting domestic demand for refined products) as policymakers have taken steps to prevent them from earning super-normal profit margins that these companies would otherwise have been able to make. China has also been increasing the use of alternative sources of energy as well as drawing down on its strategic reserves. India has also placed taxes on exports of refined products.

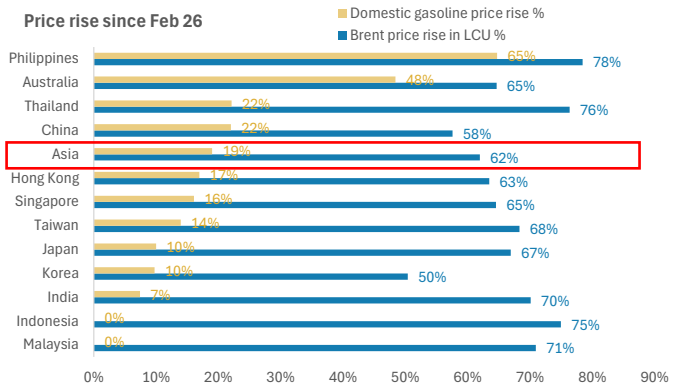
Japan, Korea, and Taiwan: Policymakers are taking up the fiscal burden in the fiscal accounts with compensation or capital injections to refiners/wholesalers. These economies have also benefited from higher corporate tax revenues, which has meant that the overall fiscal balance remains in a good shape.

Indonesia and Malaysia: Policymakers have also been taking on a higher fiscal burden in subsidizing domestic fuel prices.

Thailand: Policymakers have allowed partial pass-through.

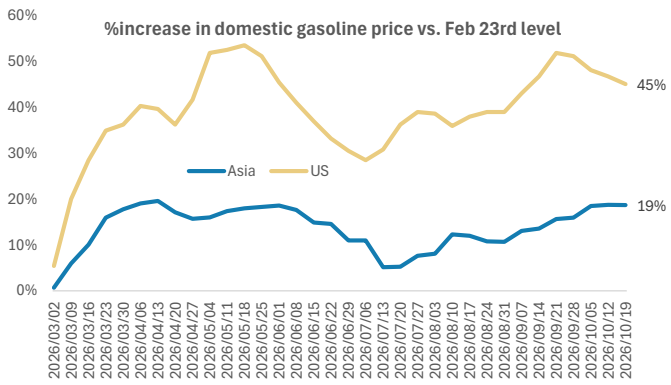
Philippines: Domestic fuel prices are fully adjusted to international prices.

Exhibit 7: Policymakers have continued to limit gasoline price pass-through via fiscal policy



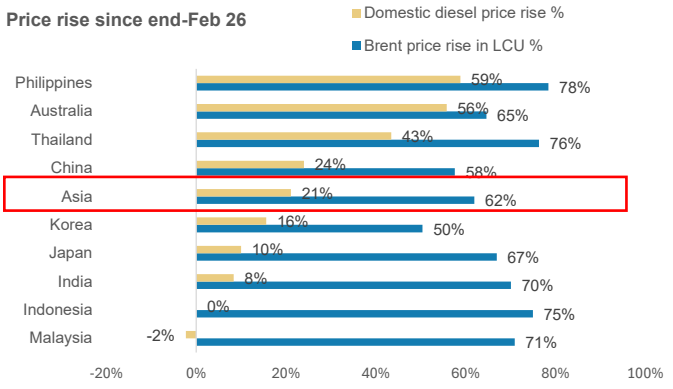
Source: es.com, CEIC, Haver, Morgan Stanley Research; Note: Data is as of October 19th.

Exhibit 8: Asia's domestic gasoline price increase has been much more modest compared to the US



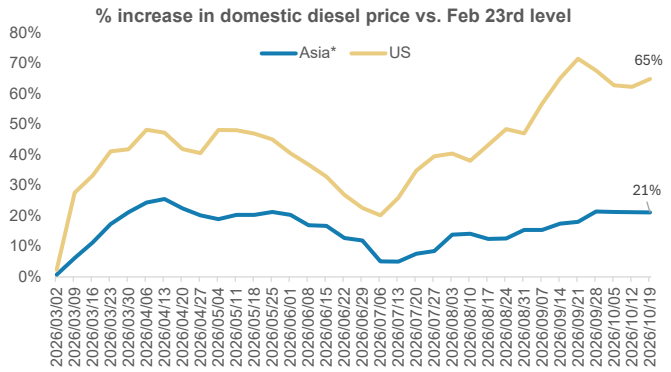
Source: es.com, CEIC, Haver, Morgan Stanley Research; Note: Data is as of October 19th.

Exhibit 9: Policymakers have limited the level of pass-through to domestic diesel price too



Source: es.com, CEIC, Haver, Morgan Stanley Research; Note: Data is as of October 19th; Note: *For diesel, Asia includes China, India, Indonesia, Korea, Malaysia, Philippines, Thailand, Australia and Japan.

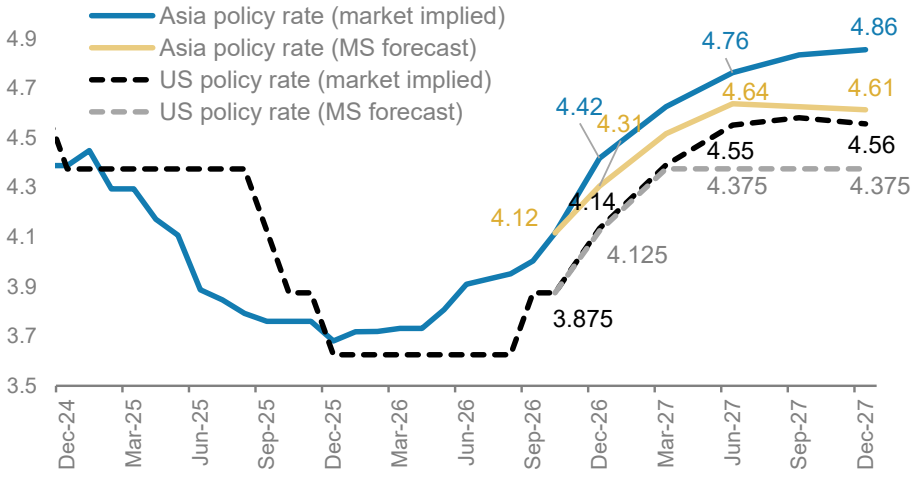
Exhibit 10: Asia's domestic diesel prices have increased only 21%, vs. 65% in the US



Source: es.com, CEIC, Haver, Morgan Stanley Research; Note: Data is as of October 19th; Note: *For diesel, Asia includes China, India, Indonesia, Korea, Malaysia, Philippines, Thailand, Australia and Japan.

Pass-through to gradually increase if oil prices rise above US$120 on a sustained basis: As it stands, economies such as Korea and Japan have further extended their fuel subsidy programmes into 4Q. Indonesia and Malaysia have pledged to keep fuel prices stable until the end of the year. However, if oil prices were to move to US$120/bbl or beyond and stay high on a prolonged basis, we see the risks that the degree of pass-through to consumers might increase as fiscal burden rises, especially for India and Japan. In Japan, policymakers have already proposed gradually lifting the fuel price cap from ¥170 per liter by about ¥5 a month starting from December. Our chief economist for India, Upasana Chachra, believes the pass-through could rise to half of the international fuel price increase in this scenario, up from ~10% currently. As it is, airfare inflation is already close to the 2022 peaks and while transport-related segments are still in low inflation territory, this too would rise as domestic fuel prices are lifted.

Exhibit 11: We remain more dovish relative to market pricing on Asia policy rate path



Source: WITP, Morgan Stanley Research forecasts; Note: Asia includes India, Korea, Malaysia, Thailand, Australia, Japan, Taiwan and Indonesia. Market consensus is used for Indonesia as the market pricing is not available.

How we think central banks will react if oil prices rise above US$120/bbl

Economy	How we see central banks reacting with the potential increase in domestic prices
Australia (Chris Read)	Higher oil prices, if sustained, raise the risk of further hikes, particularly at the November meeting. The RBA has explicitly noted that it is particularly focused on inflation trends given the time and extent that inflation has been above target. As such, upside pressure on prices is likely to result in a hawkish reaction from RBA.
China (Robin Xing)	The PBoC will likely look through the supply shock and remain on hold, given weak domestic demand and limited pass-through to downstream prices. Continued asymmetric tightening on capital controls will lend room for PBoC to manage widening rate differentials.
India (Upasana Chachra)	We currently build an additional three rate hikes into our base case, taking the terminal rate to 6.25%. *If oil prices rise to US$120/bbl or above for six months or more, stagflationary risks would rise.* However, to manage risks to both inflation and the current account deficit, we would still expect the RBI to accelerate the pace of rate hikes, taking the repo rate closer to 7%.
Japan (Takeshi Yamaguchi)	We expect the BoJ to keep its policy rate unchanged at its October meeting, before raising rates in December 2026 and March 2027, taking the policy rate to 1.75%. *If oil prices rise to US$120/bbl or above, stagflation risks would increase* and if growth slowdown materializes earlier or financial conditions tighten, it could become more difficult for the BoJ to raise the policy rate to 1.75%. But if the impact on growth remains limited while inflation expectations rise, the BoJ could raise the policy rate to 2.0%.
Korea (Kathleen Oh)	We expect THE BoK to hike another 50bps, to a terminal rate of 3.5% in our base case. Risks are already skewed towards a higher terminal level of 3.75% given upside risks to BoK's inflation forecasts. *However, at US$120/bbl, given risks of global demand destruction and weaker exports backdrop, we would not expect an additional rate hike.* Instead, we would expect a prolonged pause at the terminal level of 3.5%, while the government provides additional support to the domestic market/households.
ASEAN (Derrick Kam)	**Thailand:** We continue to expect the BoT to look past the supply-side-driven inflationary impulse from higher oil prices. It has previously stated that rate hikes will not address the underlying driver of inflation. **Malaysia:** Similarly for BNM, we don't expect a change in the rates outlook in both scenarios given our expectations that fuel prices will remain unchanged in 2026. **Singapore:** For BSP, we see scope for another 100bps in rate hikes. **Indonesia:** For BI, policymakers have refrained from further rate hikes amid concerns about the drag from higher interest rates on domestic demand. With the assumption of unchanged domestic fuel prices, the effect of higher international oil prices will be felt through a restraint on public demand – policymakers may need to cut expenditure elsewhere to account for a rising subsidy burden. The risk is if currency depreciation pressures were to intensify further from here, in which case the central bank would then have to address these pressures by interest rate hikes.

What we think Asian governments will do if oil prices rise to $120/bbl or above

Economy	What we see Asian governments doing if oil prices rise to $120/bbl or above
Australia (Chris Read)	The government has indicated that it is unlikely to reinstate the fuel tax reduction which was temporarily introduced in 2Q this year. Given that the highest import dependence is in diesel, we expect any potential policy would focus on industrial users (with transport, mining, and agriculture the largest users).
China (Robin Xing)	Brent price at US$120/bbl or above is still within the US$80–130/bbl range where state-owned oil companies will help cushion the pass-through to domestic fuel prices. As such, retail fuel price increases would continue to be smoothed, with the imputed profit margin for refiners gradually reduced to 0%. Considering attractive export margins, we think China will not opt for an outright export ban on refined products as it did in March-April, but instead take up selective export controls.
India (Upasana Chachra)	Retail fuel prices have not been increased since May and are benchmarked to crude at US$87/bbl. *If oil prices rise to US$120/bbl or above and become sustained for a prolonged period, the government could allow partial pass-through to retail consumers* – i.e., potentially half of the price increase. But other considerations such as the festive season and upcoming state assembly elections in five states (Uttar Pradesh, Punjab, Manipur, Uttarakhand and Goa) in February–March 2027 might complicate the timing. For industrial and commercial fuel sales, we expect the pass-through to be more complete.
Japan (Takeshi Yamaguchi)	Under the existing fuel price support program, the government aims to keep the nationwide average gasoline price at JPY170 per liter, with the same amount of subsidy provided for diesel as for gasoline. However, considering the fiscal burden, policymakers are discussing potentially increasing the price cap in a gradual manner by JPY5 per month from December. *If oil prices rise to US$120 or above for a prolonged period, maintaining the current level of price suppression might require substantial fiscal commitment.* The government could then face a choice between providing additional budgetary funding, further revising the gasoline price target or subsidy rate, targeting support more narrowly such as at vulnerable households or affected industries, or allowing a greater proportion of the cost increase to pass through to retail fuel prices.
Korea (Kathleen Oh)	Support measures so far include: 1. Fuel tax cuts 2. Fuel price caps 3. Targeted fuel subsidies to vulnerable sectors We estimate that the government's retail fuel price cap has led to a 30bp suppression on CPI. Given ample tax surplus this year – which is expected to continue next year as well – the government is likely to continue to keep retail fuel prices lower. A larger fiscal budget than what was proposed in early September (12.8%Y increase in expenditure) or even a supplementary budget this year could be taken up to extend financial support for subsidies for importers and households.
ASEAN (Derrick Kam)	Policymakers in Indonesia have committed to keeping subsidized fuel prices unchanged through to the year end. Meanwhile, policymakers in Malaysia have since September 1 reinstated the quotas for the purchase of subsidized fuels. These moves suggest that policymakers will likely keep the subsidies in place through at least year-end, incurring further increases in subsidy burden. For Thailand, we continue to expect a partial pass-through to prices. We expect a full pass through to domestic prices in the Philippines.

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